(vii) promoting dryland agriculture by developing drought- and pest-resistant crop varieties,

(viii) expanding its coverage to rainfed areas for integrating farming systems with livestock and fisheries.

Under the aegis of the Central government, state governments are also preparing their State Action Plans aimed at creating institutional and programme-oriented capacities to address climate change. These, together with the National Missions, will enhance climate change-related actions in the public and private domains.

Q. 6 Write a note on the recent steps taken by the Government in the direction of fiscal consolidation.

Ans. After the IMF cautioned about the economy's fiscal parameters and the condition put by it concerning immediate fiscal consolidation, the Union government in mid-90s looked concerned about the matter. After a longer time of deliberations, ultimately an Act was passed by the Parliament in 2003—the Fiscal Responsibility and Budget Management (FRBM) Act—All political parties voted in favour of this Act. This should be considered the most important legislation in India in the direction of fiscal consolidation which envisages:

(i) Revenue deficit to be cut by 0.5 per cent of GDP per year.

(ii) Fiscal deficit to be cut by 0.3 per cent of GDP per year.

(iii) Fiscal deficit must be brought down to less than 3 per cent of GDP by 2007–08 and revenue deficit to zero by that time (UPA Government did it in 2008–09).

Further, the government did set stiffer targets; the revenue deficit down from 3.6 per cent to 2.5 per cent of GDP by March 2005. Other than FRBM Act, the government is also committed on the following fronts:

- Increasing *tax revenue*—imposing new taxes (service tax, transaction tax, etc.) besides broadening the tax base (income tax) as well as trying for better tax compliance and evasionless tax regime.
- Cutting down *revenue expenditure*—controlling interest burden by lesser borrowings, rationalising subsidies, right-sizing the